

BUSINESS REQUIREMENT DOCUMENT

EXECUTIVE SUMMARY

BUSINESS PROBLEM

Spotify has strong user acquisition and engagement, but there is an opportunity to increase **Time Spent Listening (TSL)** by identifying friction points and drop-offs across the listening journey.

BUSINESS IMPACT

Lower listening time can reduce overall user engagement, content discovery, and opportunities for monetization through advertising and premium conversion.

Increasing TSL can potentially result in:

- Higher user engagement and retention
- Increased music and podcast consumption
- Better content discovery
- Increased advertising inventory for free users
- Greater opportunities for Premium conversion
- Improved user lifetime value

PRIMARY KPI

Time Spent Listening(TSL)

CURRENT PERFORMANCE

According to Spotify India, the platform enjoys 70 million monthly active users in the region who spend an average of **1.44** hours daily streaming music. They also spend **53 minutes** per day listening to podcasts. The audience comprises 63% male and 37% female users, 63% of whom fall within the 25 to 44+ age group. The remaining 37% comprises users aged 16 to 24.

Total Time Spent listening/user/month : **69.7 hours**

Source: <https://www.digitalmusicnews.com/2025/01/09/spotify-india-still-struggling-to-reach-profitability-2025/> - :~:text=According to Spotify India, the,1.44 hours daily streaming music.

TARGET

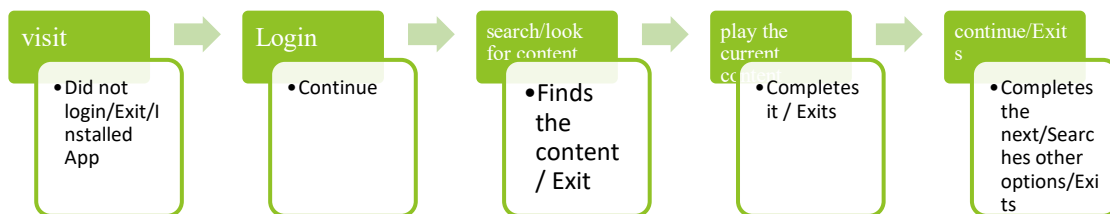
The primary objective is to increase **Time Spent Listening/user/ month**.

Proposed Target :Increase average TSL from 69.7 hours/user/month to 75 hours/user/month.

This represents an increase of approximately:

- **5.3 additional hours/user/month**
- **7.6% improvement in TSL**
- **Approximately 10.6 additional minutes/user/day**

KEY JOURNEY



PROJECT DESCRIPTION

The project focuses on analysing Spotify user listening behaviour to identify the key drivers of **Time Spent Listening (TSL)**. The analysis will examine user journeys, listening sessions, content preferences, skip and completion rates, recommendations, and drop-off points to identify friction and engagement opportunities. The insights will be used to recommend data-driven actions that can increase listening time, improve user engagement and retention, and support monetization and Premium conversion.

SCOPE OF THE PROJECT

The project will analyse Spotify user listening data to understand the key factors affecting **Time Spent Listening (TSL)**.

- **Drop-off Analysis:** Identify the stages where users are most likely to stop listening, exit the application, or abandon content.
- **Session Analysis:** Analyse session duration, number of sessions per user, and listening patterns to identify opportunities to increase continuous listening.
- **Skip & Completion Analysis:** Evaluate skip rates, completion rates, and their relationship with overall TSL.
- **Recommendation Effectiveness:** Measure whether personalized recommendations, playlists, and autoplay lead to longer listening sessions.
- **User Segmentation:** Compare TSL across Free vs Premium users, age groups, new vs existing users, light vs heavy listeners, and music-only vs music-plus-podcast users.

- **Time-Based Analysis:** Analyse listening behaviour by hour of day, day of week, and different usage periods to identify high- and low-engagement periods.
- **Friction Analysis:** Assess the impact of playback failures, buffering, advertisements, repeated content, and other interruptions on listening duration.
- **Conversion & Retention Analysis:** Investigate whether higher TSL is associated with improved user retention and Premium conversion.

Out of Scope: Product development, changes to Spotify's recommendation algorithms, pricing, and direct implementation of business recommendations.

KEY ASSUMPTIONS AND CONSTRAINTS

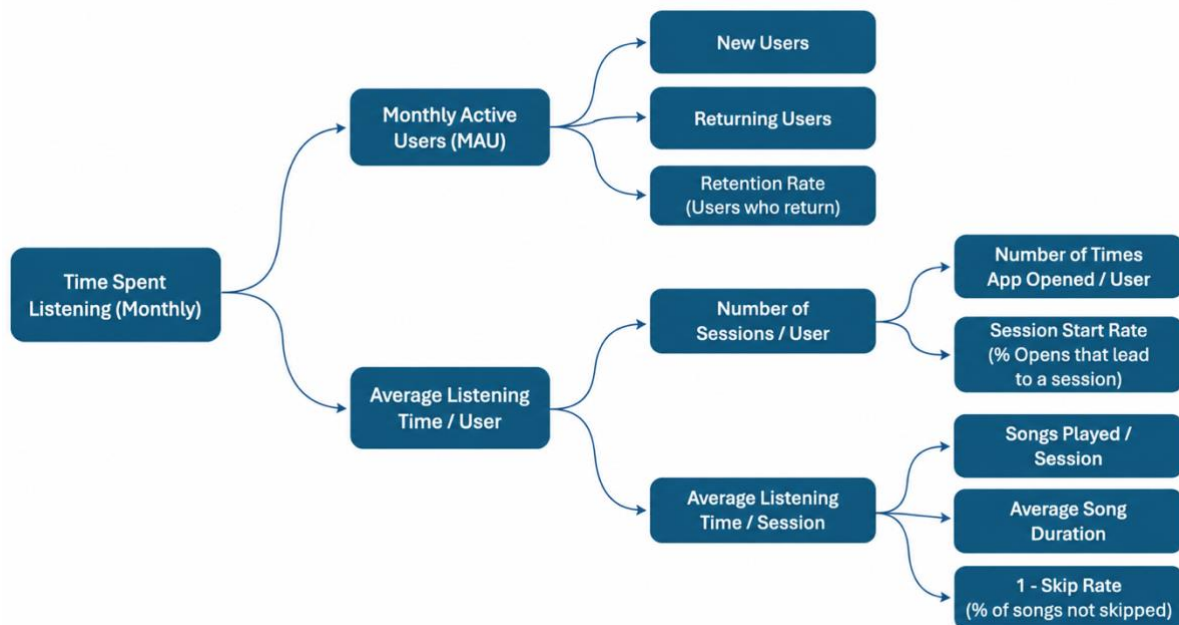
Assumptions

- TSL is accurately captured and consistently defined.
- TSL is an appropriate primary measure of listening engagement.
- Historical listening data is available for establishing the baseline.
- User behaviour can be segmented by engagement and listening patterns.

Constraints

- Limited access to Spotify internal user-level/session-level data.
- Seasonality, content releases and product changes may influence TSL.

SUCCESS CRITERIA AND KPI



By using **advertising revenue** as the primary monetization impact because increased listening time creates additional ad inventory for free users. Spotify India reported **₹187 crore advertising revenue in FY25**, while the India user base was estimated at around 70–80 million.

Source:

<https://economictimes.indiatimes.com/industry/media/entertainment/spotify-india-turns-profitable-in-fy25-on-subscription-surge/articleshow/126063689.cms?from=mdr>

Current vs Target TSL

Metric	Current	Target
TSL / User / Month	69.7 hrs	75 hrs
Incremental TSL	—	+5.3 hrs
% Increase	—	7.60%

Calculation:

$$5.3 \div 69.7 \times 100 = 7.60\%$$

So your project target represents a **7.6% increase in listening time**.

Incremental Listening Hours

Using 70 million MAUs:

$$70\text{M} \times 5.3 \text{ hours} = 371 \text{ million additional listening hours/month}$$

Annualized:

$$371\text{M} \times 12 = 4.452 \text{ billion additional hours/year}$$

REVENUE IMPACT

If we assume advertising revenue increases proportionally with monetizable listening time:

$$\text{Current annual advertising revenue} = \text{₹187 crore}$$

Therefore:

$$\text{₹187 crore} \times 7.60\% = \text{₹14.21 crore/year}$$

ESTIMATED REVENUE IMPACT

$$\approx \text{₹14.2 crore additional advertising revenue per year}$$

This is the **upper-bound/simple proportional estimate**, assuming the additional listening time generates monetizable ad inventory at approximately the same effective rate as existing listening.

A separate industry case study estimates approximately **60% of Spotify India's users are free/ad-supported** and 40% Premium.

Source: [/www.afaqs.com/news/media/spotify-arjun-kolady-2023-advertising-business-india](https://www.afaqs.com/news/media/spotify-arjun-kolady-2023-advertising-business-india)

If we assume the **5.3 additional hours are distributed across all users**, only 60% of that incremental time is potentially ad-supported:

$$\text{₹14.21 crore} \times 60\% = \text{₹8.53 crore/year}$$

So I would present the business case as:

Scenario	Estimated Annual Revenue Increase
Proportional/Upper Bound	₹14.2 Cr
Conservative, 60% Ad-Supported	₹8.5 Cr

Increasing average Time Spent Listening from **69.7 to 75 hours/user/month (+7.6%)** could generate approximately **₹8.5–₹14.2 crore of incremental annual advertising revenue**, assuming advertising monetization scales proportionally with additional listening time. The estimate should be validated using Spotify's actual ad load, fill rate, CPM/effective revenue per listening hour, and Free/Premium user mix.

GLOSSARY

Term	Definition
TSL – Time Spent Listening	Total time a user spends actively listening to Spotify content.
MAU – Monthly Active Users	Unique users who actively use Spotify at least once during a month.
DAU – Daily Active Users	Unique users who actively use Spotify during a day.
Listening Session	A continuous period during which a user listens to Spotify content.
Average Listening Time/User	Average amount of listening time generated by each user during a defined period.
Session Duration	Time between the start and end of a listening session.
Skip Rate	Percentage of songs or content skipped before completion.
Completion Rate	Percentage of a song or podcast episode listened to until completion.
Retention Rate	Percentage of users who return to Spotify after their initial usage period.
Free User	User who uses Spotify without a Premium subscription and may be exposed to advertisements.
Premium User	User with a paid Spotify subscription.
Ad-Supported Listening	Listening by users where advertisements can be served during the experience.
Content Discovery	Process through which users find songs, artists, playlists, or podcasts.

Drop-off	Point in the user journey where a user stops listening or leaves the platform.
KPI – Key Performance Indicator	A measurable metric used to evaluate business performance.